Unit 2. Objectives and Values

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Unit 2. Objectives and values

LEARNING OBJECTIVES

1. To understand the economic and social perspectives of a firm: from shareholders to stakeholders' perspective
2. To determine and understand the different ways to calculate the economic profit
3. To understand the mechanisms of corporate governance in large and complex companies
4. To integrate sustainability and corporate social responsibility into the firm's mission and vision

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2.1. Mission, Vision and S.O.

CORPORATE MISSION

What is the essence of my business and what do I want it to be? Present…

- Firm's existing reason and the source of a corporate identity
- Be stable over time
- A statement of principles
- **VARIABLES**: Firm's scope; Core Capabilities; Values, beliefs, and behaviour

CORPORATE VISION

What will we be, should be, want to do in the future? 10 years and beyond…

- Main task of the CEO (corporate leader, the Visionaire…)
- Incorporate a sense of success and future orientation
- Be stable over time and so clear (conciseness)
- Inspirational and inclusive: Co-joint effort: workers, managers, and owners

Exhibit 2.1

CORPORATE MISSION EXAMPLES

To challenge the status quo.
To think differently.

To refresh the world and inspire moments of optimism and happiness.

To give people the power to build community so that we can bring the world closer together.

To empower every person and organization on the planet to achieve more.

To fulfill dreams of personal, All-american freedom.

To organize the world's information and make it universally accessible and useful.

To create happiness for people of all ages, everywhere.

To accelerate the world's transition to sustainable energy.

To inspire and nurture the human spirit – one person and one cup at a time.

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Exhibit 2.2

CORPORATE VISION EXAMPLES

To bring inspiration and innovation to every athlete in the world.

Be the destination for customers to save money, no matter how they want to shop.

To be the best way to pay and be paid, for everyone, everywhere.

To become the world's most loved, most flown, and most profitable airline.

To provide access to the world's information in one click.

To be the world's leading producer and provider of entertainment and information.

To create the most compelling electric car company of the 21st century.

To be the world's best quick service restaurant experience.

To establish Starbucks as the premier purveyor of the finest coffee in the world.

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2.1. Mission, Vision and S.O.

STRATEGIC OBJECTIVES

How will we become what we want to be? Gap Present → Future

1. Measurable attribute (profitability; revenue growth,…)
2. A yardstick for measuring the attribute (ROE, ROA; % revenues growth,…)
3. A targe to meet (7.5% ROE, 10.01 ROA; 4.5% revenues growth in Spain…)
4. A timeframe (within 2 years, by the end of 2030,…)

"Disney is committed to purchasing or producing 100% zero carbon electricity for all direct operations globally by 2030"

2.2. Value Creation and Stakeholders

FIRM PERFORMANCE

Performance = Success?

Importance:

1. The AIM of strategic decisions
2. To assess SUCCES or FAILURE
3. To assess the CEO and TMT performance

Issues:

1. Difficult to measure
2. What means performance? To Whom?
3. Success/failure depends on how Performance is defined…

2.2. Value Creation and Stakeholders

FIRM PERFORMANCE Measurement

Profitability (Accounting):

1. Gross Operating Margin
2. Profit: EBIT, Net Income
3. ROA (Return on Assets); ROE (Return on Equity)

Firm's Value (Market)

1. Market Value (market capitalization)
2. Shareholder Value Creation (satisfactory increase of share prices)

Social / Environmental Performance?

1. Positive Impact / Shared Value/ Social Issues
2. Minimization of pollution emissions

But... Who establishes the firm's objectives?

2.2. Value Creation and Stakeholders

FIRM STAKEHOLDERS

- Person or group of people who are related to a firm
- Stakeholders have their own objectives (Shareholders, managers, workers, customers, competitors, public administrations, etc.)
- They try to condition the firm's objectives

Chicago School (80's & 90's): Milton Friedman's Thesis

1. The only responsibility of managers is to maximise Shareholder's wealth!
2. Shareholder Value Creation – Shareholder Supremacy

Stakeholders' Theory (Freeman, 1984) – Sustainability Postulates (last 2 decades…)

1. Triple Bottom Line: Economic, Social and Environmental Performance
2. Stakeholders' satisfaction, long-term orientation
3. Corporate Social Responsibility (CSR) – Sustainability - SD

Illustration 2.1

Critical thinking

Role Play: 2 students should adopt 5 positive (one) and 5 negative arguments (the other one) about assuming high levels of corporate social responsibility by your company

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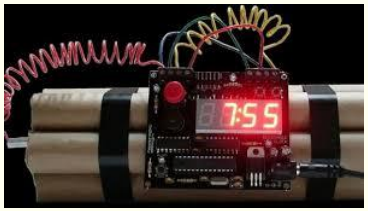
2.3. Corporate Governance

But… Who establishes the firm's objectives?

OWERNSHIP ← Separation → MANAGEMENT

SHAREHOLDER VALUE CREATION



REMUNERATION. POWER, STATUS

CORPORATE GOVERNANCE MECHANISMS

1. **<u>Incentives</u> (bonuses, stock options, shares for free… based on ownership schemes..)**
2. **<u>Board of Directors</u> (direct supervision):**
   1. **Strategic advise**
   2. **Management supervision**
   3. **Gate between owners and managers**

2.4. Corporate Values

The END does not justify the MEANS..

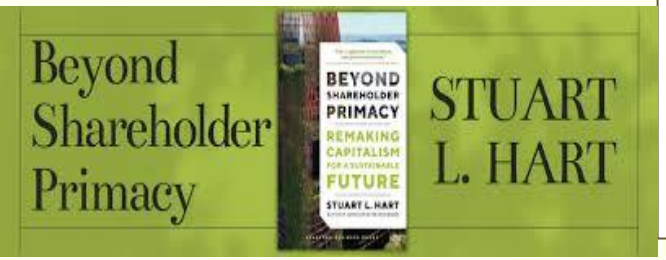
The set of principles, beliefs, standards and commitments designed to steer its progress toward the achievement of the firm's vision and mission (Guerras & Navas, 2020)

KEY IDEAS

1. **Guide for business activities and performance**
2. **Ethical behaviour**
3. **Stakeholders' engagement**
4. **Key ingredient for organizational culture, mission and vision**

2.4. Corporate Values

CORPORATE SOCIAL RESPONSIBILITY



Set of voluntary activities carried out by the firm in order to meet social and environmental demands made by a wide range of firm's stakeholders

From Just Profit Maximization → PURPOSE

From Shareholder's PRIMACY → STAKEHOLDERS engagement

BUSINESS ETHICS

Moral foundations characterizing the relationship between the firm and its stakeholders

What is right or wrong / good or bad / damaging or beneficial regarding strategic decisions and business transactions?

BUSINESS CASE 2: DANONE

“Danone: Profitability, CSR and Sustainability”

Questions

1. What is the conflict between a company’s pursuit of profits versus purpose?
2. How can Faber and Danone’s board of directors defend the strategy of pursuing purpose?

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